

We took the best performing strategy, El-Erian, and compared it to the worst, the Permanent Portfolio. (Note we are just using real absolute returns and not risk adjusted where Permanent would rank much higher.)

What if someone was able to predict the best-performing strategy in 1973 and then decided to implement it via the average mutual fund? We also looked at the effect if someone decided to use a financial advisor who then invested client assets in the average mutual fund. Predicting the best asset allocation, but implementing it via the average mutual fund would push returns down to roughly even with the Permanent Portfolio. If you added advisory fees on top of that, it had the effect of transforming the **BEST** performing asset allocation into lower than the **WORST**. Think about that for a second. Fees are far more important than your asset allocation decision!

Now what do you spend most of your time thinking about? Probably the asset allocation decision and not fees! **This is the main point we are trying to drive home in this book – if you are going to allocate to a buy and hold portfolio you want to be paying as little as possible in total fees and costs.**